

LONGHORN KENYA LIMITED



CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30TH JUNE 2013

	June 2013 Sh'000	June 2012 Sh'000
ASSETS		
Non current assets		
Property and equipment	169,908	174,027
Intangible assets	9,423	12,313
Deferred tax asset	21,364	31,291
	<u>200,695</u>	<u>217,631</u>
Current assets		
Inventories	142,522	275,038
Trade and other receivables	215,849	156,662
Tax recoverable	2,100	1,014
Cash and bank balances	123,853	12,344
	<u>484,324</u>	<u>445,058</u>
Total assets	<u>685,019</u>	<u>662,689</u>
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	58,500	58,500
Share premium	5,039	5,039
Retained earnings	329,917	235,999
Translation deficit	(7,590)	(34,953)
	<u>385,866</u>	<u>264,585</u>
Current liabilities		
Trade and other payables	259,716	376,773
Tax payable	39,437	1,982
Loan payable	-	9,600
Bank overdraft	-	9,749
	<u>299,153</u>	<u>398,104</u>
Total equity and liabilities	<u>685,019</u>	<u>662,689</u>

These audited Financial Statements were approved by the Board of Directors
on 19th September 2013 and were signed on its behalf by:

FRANCIS T NYAMMO (Chairman)

MUSYOKI MULI (Managing Director)

LONGHORN KENYA LIMITED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30TH JUNE 2013

	June 2013 Sh'000	June 2012 Sh'000
Turnover	1,033,295	775,943
Cost of sales	(562,214)	(438,712)
Gross profit	471,081	337,231
Other operating income	6,771	9,276
Selling and distribution expenses	(80,810)	(87,499)
Administrative expenses	(233,992)	(274,004)
Interest income	159	471
Net foreign exchange loss	(11,882)	(11,424)
Profit/(Loss) before taxation	151,327	(25,949)
Taxation (Charge)/credit	(57,409)	3,484
Profit/(Loss) for the year	93,918	(22,465)
Other comprehensive income/(Loss) for the year		
Items that will be reclassified subsequently to profit or loss:		
Exchange difference on translation of financial operations	27,363	(27,005)
Total comprehensive income/(Loss) for the year	121,281	(49,470)
Earnings/(Loss) per share - basic and diluted	1.61	(0.38)

OPERATING ENVIRONMENT

The economy recorded impressive improvement despite a myriad of challenges that included a turbulent global economy, uncertain political atmosphere due to the national elections in March and a weakened shilling at the beginning of the year under review. The second half reignited the business momentum, spurred by a growing middle class with disposable income and responsive donor funding in the regional markets.

Performance

For the period under review the company achieved consolidated sales of Kshs 1.033b, posting a 33.16% growth over the 2012 turnover of Kshs 775.943m. The company recorded a consolidated profit before tax of Kshs 151.327m, against the budgeted profit of Kshs 121.90m. The positive profit jump contrasts to the net loss of Kshs 11.779m recorded in 2012. The year's performance was driven by demand created through aggressive marketing strategies, leading to accelerated sales in Kenya and exports to Uganda, South Sudan, Tanzania and Rwanda. The company was awarded ISO 9001: 2008 in the year under review due to deliberate continuous improvements in business processes.

Dividend

The directors have recommended a first and final dividend of Kshs 0.80 per share amounting to Kshs 46.8m. Subject to shareholders' approval, the dividend will be payable on or before 15th February 2014.

Closure of Register

The register of members will be closed at the closure of business on 15 November 2013 for the purpose of determining the shareholders' entitlement of dividend.

Annual General Meeting

The Annual General Meeting will be held on Friday 15 November 2013.

Future Outlook

The recently enacted VAT ACT 2013 introduced tax on books. This is expected to slow down business and negatively impact on product volumes uptake. Nevertheless, the company's growth momentum is expected to be cushioned by the projected robust and dynamic microeconomic environment in Kenya and the regional markets. With the Kenya government's focus on digitized content, Longhorn has positioned itself well by investing and preparing quality e-learning and digital instructional materials in a multiplicity of media and platforms. Additionally, the national curriculum is expected to be overhauled in the near future. This will open up fresh business opportunities for the company to develop new products.

Directors are optimistic that the Company's growth will be sustained and accelerated towards attaining our vision to be a market leader in Africa.

Certified True Copy

Secretary